SNLB Farms

Comprehensive Feasibility Study

Commercial tomato farming on a leased 100-hectare master block in Ogun State, Nigeria, supplying Mile 12 International Market, Lagos. A self-funding expansion from 1 hectare to 100 hectares through two-cycle production, 50/50 reinvestment and progressive mechanization.

Prepared	**August 2026**
Horizon	**5 years / 10 cycles · 1 ha → 100 ha in six cycles (3 years)**
Base case NPV	**₦2.62 billion at 18% (5-year, no terminal value)**
Opening capital	**₦12.0 million paid-in (₦3.5m CapEx + Cycle 1 working capital and buffer)**
Includes	**SWOT · ESG · charts · NPV/IRR · three scenarios · optional ₦80m facility**
Classification	**Planning document — not financial, legal, tax or investment advice**

Commercial Tomato Farming on a Leased 100-Hectare Master Block
Ogun State, Nigeria — supplying Mile 12 International Market, Lagos

A self-funding expansion from 1 hectare to 100 hectares, driven by two-cycle annual production, disciplined 50/50 profit reinvestment, progressive mechanization, and a complete cost, CapEx and tax stack sized for promoters and, if later required, lenders.

Field	Detail
Entity	SNLB Farms
Prepared	August 2026
Horizon	Year 1–Year 5 (build-out in six cycles / three years; steady state Years 4–5)
Currency	Nigerian naira (₦), nominal
Planning case	Base case — conservative prices and yields, full operating stack, NTA 2025 tax
Classification	Confidential planning document

Purpose. This study assesses the commercial viability of phased hybrid tomato production on a contiguous 100-hectare master block in Ogun State, with produce sold into Mile 12 International Market (≈1.5 hours). It sets out the operating model, market, agronomy, expansion path, three financial scenarios, charts, discounted cash flow, optional facility terms, risk, ESG, and the conditions for first planting.

Disclaimer. Figures are illustrative projections on stated assumptions. They are not guarantees. This document is not financial, legal, tax or investment advice. Independent professional advice is required before capital is committed.

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1. Executive Summary

This study assesses a phased tomato farming venture established on a single leased hectare within a contiguous **100-hectare master block** in Ogun State, Nigeria. Produce is transported roughly **1.5 hours** to Mile 12 International Market in Lagos — West Africa's largest fresh-produce terminal.

The operating model runs **two production cycles per year** on every hectare under cultivation:

- **Regular Season** (December–June) — dry-season glut window; stable demand; the establishing cycle.
- **Peak (Scarcity) Season** (July–November) — national northern supply tightens and Mile 12 prices rise; the margin engine.

The first cycle is Regular, on one hectare. Every cycle afterward alternates Peak and Regular as the footprint grows. From Cycle 5, about **70% of volume** is sold under bulk tonnage contracts so that scale does not flood the Mile 12 spot auction.

Agronomic targets sit at the conservative end of NIHORT's intensive range (20–40 t/ha): **20 t/ha Regular / 18 t/ha Peak**. The **financial base case** plans one step more conservatively still — **18 / 16 t/ha** and mid-range Mile 12 prices — so that the numbers a promoter or lender underwrites do not depend on a scarcity spike. An **upside case** uses the agronomic targets, observed Peak prints around ₦145,000/basket, and the NTA 2025 five-year agricultural income-tax holiday. A **stress case** applies the January 2025 glut floor, weaker Peak prices, lower yields and faster cost inflation.

Capital allocation follows a **50/50 rule** at every cycle close: half of net profit is a cash buffer; half is reinvested into adjacent hectares, drip extension and, later, packhouse infrastructure. Land added per cycle is capped at **+45 ha**, the practical ceiling on preparation, irrigation and staffing in a single six-month window. Under that combination the venture reaches the full 100-hectare block in **six cycles — three years**.

Opening capitalization is **₦12.0 million**: ₦3.5 million of headworks, 1 ha drip, crates, tools and legal; the balance for Cycle 1 cash operating costs, pre-ops and a small shock reserve. Growth after Cycle 1 is funded from retained earnings. External debt is not required to reach 100 ha. An optional ₦80 million production facility from Year 2 is specified so that a BOA or NIRSAL-wrapped bank file is ready if the promoters later choose it.

Key figures at a glance — base case

Metric	Value
Starting scale (Cycle 1)	1 ha, Regular Season
Agronomic yield target	20 t/ha Regular / 18 t/ha Peak (NIHORT-sourced)
Financial base-case yield	18 t/ha Regular / 16 t/ha Peak
Base-case prices (50 kg basket)	₦22,000 Regular / ₦90,000 Peak
Expansion path	1 → 3 → 15 → 27 → 72 → 100 ha, capped at +45 ha/cycle
Time to full 100 ha	6 cycles — 3 years
Opening capital	₦12,000,000 paid-in
Year 1 NPAT / net margin	₦46.5m / 49.3%
Year 3 NPAT / net margin	₦1.53bn / 47.5% (first year the block is full)
Cycle 1 break-even	₦18,262 / basket vs ₦22,000 Regular (17.0% margin of safety)
Sales-unit transition	From Cycle 5 (72 ha): ≈70% bulk / 30% spot
Cumulative buffer by Year 3	₦1.01 billion
5-year NPV @ 18% (no terminal value)	₦2.62 billion
Optional ₦80m facility — minimum DSCR	68.7× base case; 4.0× stress case

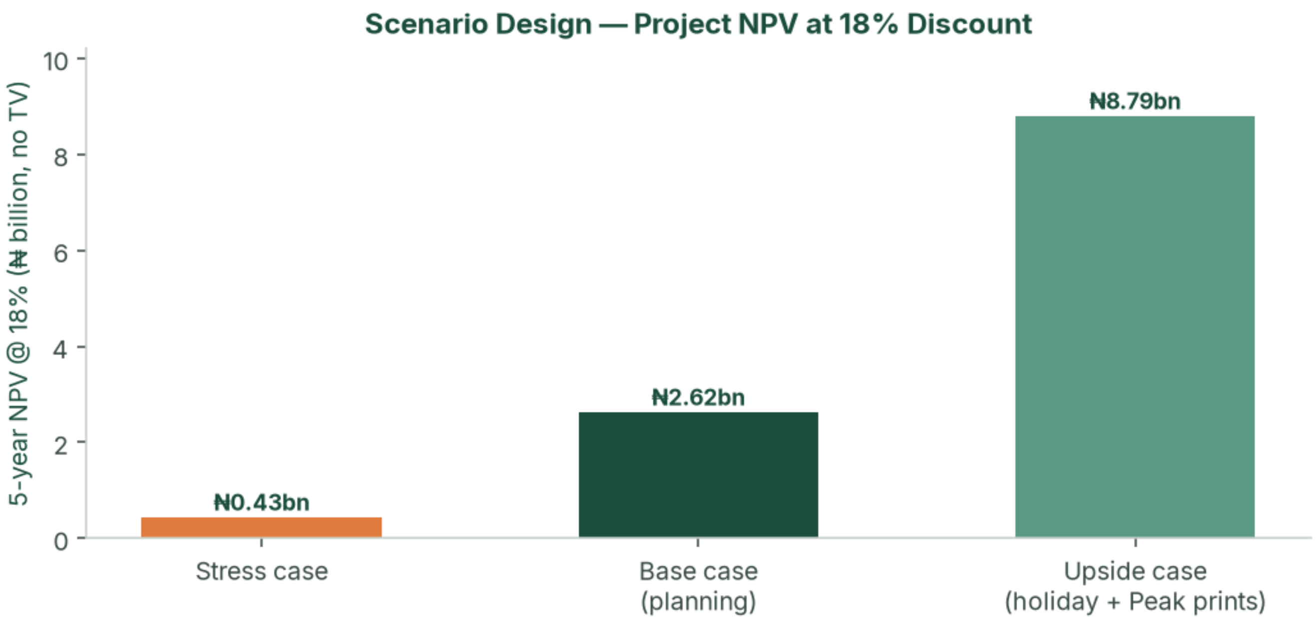

Figure: Three designed scenarios — stress, base (planning) and upside — 5-year NPV at an 18% agri-risk discount, no terminal value.

Feasibility verdict

The venture is **feasible**. It combines (a) a structural national supply deficit for fresh tomatoes, (b) a durable Ogun–Lagos logistics advantage versus long-haul northern producers, (c) a two-cycle calendar that converts seasonal volatility into the profit engine, and (d) a cycle-level 50/50 allocation that funds land under cultivation while building a cash buffer. The pace of the plan is governed by how quickly new land can be prepared, staffed and irrigated — not by how much capital is available after Cycle 2.

2. Business Overview & Strategic Model

2.1 Concept & business model

The venture leases (and options) the full contiguous 100-hectare block in Ogun State before operations begin, then brings parcels into cultivation as retained profit allows. Because the block is already secured, each expansion step is operational — drip, land prep, staffing — rather than a new land negotiation.

- **Cycle 1 — Regular Season.** One hectare; harvest into the December–June window; first track record and first Mile 12 relationships.
- **Cycle 2 — Peak Season.** Three hectares; harvest into July–November scarcity; first high-margin cash generation.
- **From Cycle 3.** Regular and Peak alternate on the growing footprint. Produce moves Ogun → Mile 12 in about 1.5 hours, in 50 kg baskets, until the Cycle 5 bulk transition.

The land structure used in the model is the one a lender or careful promoter would want: **₦200,000/ha/year** on cultivated hectares plus a **₦25,000/ha/year holding fee** on unused option land, with the lease/option assignable. Lease-to-own conversion from Year 2, funded from the buffer, builds collateral.

2.2 Capital allocation — the 50/50 rule

At the close of **every cycle**:

- **50% reinvested** — next-cycle working capital, drip on newly added hectares, and triggered shared infrastructure (boreholes, packing shed, packhouse).
- **50% retained as buffer** — weather, pest, weak-price or mobilisation delay, without a pause in operations.

Hectares are added only up to what the reinvestment pool can fund, and never more than **+45 ha** in one cycle. From Cycle 4 the operating ceiling, not cash, binds.

2.3 Mechanization roadmap

The venture is asset-light. Machinery is rented per cycle from a farm-management company as acreage crosses defined thresholds. Discounts apply to **base production cost only**.

Stage	Trigger	Approach	Effect on unit cost
Stage 0 — Manual	< 5 ha	Manual land prep; FMC in advisory capacity	Baseline
Stage 1 — Rented core fleet	5–24 ha	Tractors and tillers rented per cycle	≈7%
Stage 2 — Bulk + fleet	25–59 ha	Bulk inputs plus expanded rented fleet	≈14%
Stage 3 — Full mechanization	≥ 60 ha	Master service contract; optional owned implements	≈20%

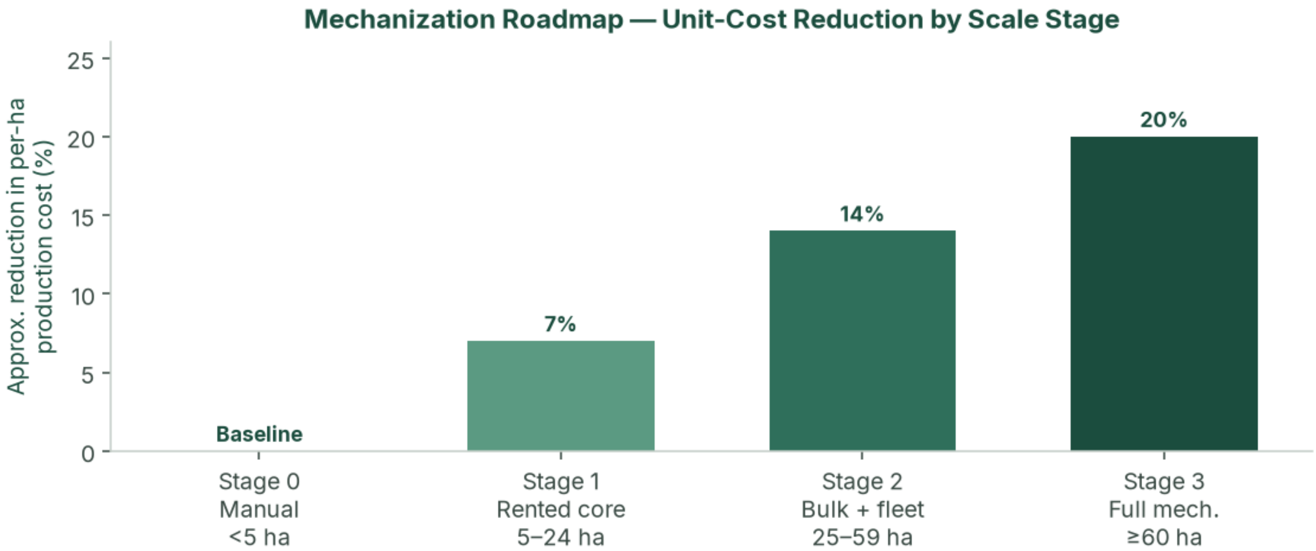

Figure: Mechanization stages and approximate per-hectare cost reduction. Applied as a discount to base production cost in the financial model.

2.4 Value proposition

- **Strategic market access.** 1.5-hour transit to Mile 12 versus 36–48 hours from the north, cutting post-harvest spoilage to under 5% against 40%+ for long-haul competitors.
- **Countercyclical supply.** Reliable volume in the months when the broader market is scarcity-constrained.
- **Scalable, capital-light growth.** Self-funded path from 1 to 100 ha in three years, without owning a tractor fleet.
- **Self-funding resilience.** The 50/50 policy funds growth and insulates against a single bad cycle.

2.5 Competitive advantages

- **Capital wall.** All-in production of roughly ₦3.6m–₦4.2m per hectare (base case, before scale discounts) keeps casual entrants out.
- **Know-how.** Two-cycle timing, hybrid seed, drip and mechanization coordination.
- **Geographic insulation.** Ogun is structurally less exposed to northern *Tuta absoluta* ("tomato Ebola") outbreaks that drive the price spikes Peak cycles are timed to meet.
- **Auditable track record.** Cycle-level books from harvest one make the venture financeable if external capital is later sought.

2.6 SWOT analysis

	Helpful	Harmful
Internal	**Strengths:** Ogun proximity (1.5 h vs 36–48 h north); two-cycle scarcity capture; 50/50 discipline; master option/ lease; conservative financial yields; asset-light mechanization; phased drip and packhouse CapEx inside the model.	**Weaknesses:** Mile 12 concentration until Cycle 5; operational bandwidth (staffing and land prep) binds before capital; thin management in early cycles; working-capital intensity per hectare; no owned cold chain until the Cycle 5 packhouse trigger.
External	**Opportunities:** Structural deficit and US$350–400m paste imports; processor offtake (Dangote, Tomato Jos); NATIP, ACGSF, Ogun SAPZ; NTA 2025 agri tax holiday on the upside case; lease-to-own collateral.	**Threats:** January 2025 glut prints of ₦13–15k; input inflation (NBS food 16.96% May 2026); Peak pest pressure; new southern intensive entrants; lease/tenure defect; Regular harvest at 72 ha without bulk contracts.

3. Market Analysis

3.1 Macro market — the Nigerian tomato industry

Nigeria is Africa's second-largest tomato producer (≈**3.7 million tonnes**) and still imports an estimated **US$350–400 million** of tomato paste a year. Tomatoes are a staple vegetable with inelastic household demand. The paradox — large output, large imports, violent retail spikes — is explained by rain-fed smallholder yields of **4–10 t/ha**, **40–50%** post-harvest loss on the north–south corridor, and recurring *Tuta absoluta* events that can destroy 50–100% of affected northern fields.

Policy is supportive rather than a cash input to the model: NATIP 2022–2027, ACGSF (up to 75% guarantee on qualifying agricultural loans), FX frictions on some paste imports, and Ogun State's Special Agro-Industrial Processing Zone.

3.2 Micro market — Mile 12 International Market, Lagos

Mile 12 absorbs an estimated **1,000+ tonnes of tomatoes a day** for a Lagos population above 20 million. Price discovery is daily, auction-style, in 50 kg "big baskets." Selected verified points (not a continuous series; gaps are not interpolated):

Period	50 kg basket	Context
Aug 2024	₦50,000	Seven-month low; down 58% from ~₦120,000 Jan/Feb 2024
Dec 2024	₦35,000–₦55,000	Dry-season glut, quality-dependent
Jan 2025	₦13,000–₦15,000	Deep glut — **stress-case Regular floor**
Feb 2025	₦40,000	Recovery
Late May / early Jun 2026	₦60,000–₦70,000	Inter-peak trough
Early Jul 2026	₦120,000–₦150,000	Scarcity spike — **upside Peak reference**

The **base case** plans Regular at **₦22,000** and Peak at **₦90,000** — inside the observed range, below the July 2026 headline, and above the January 2025 crash. The **upside case** uses ₦33,000 / ₦145,000, aligned with the glut-window cluster and the July 2026 print.

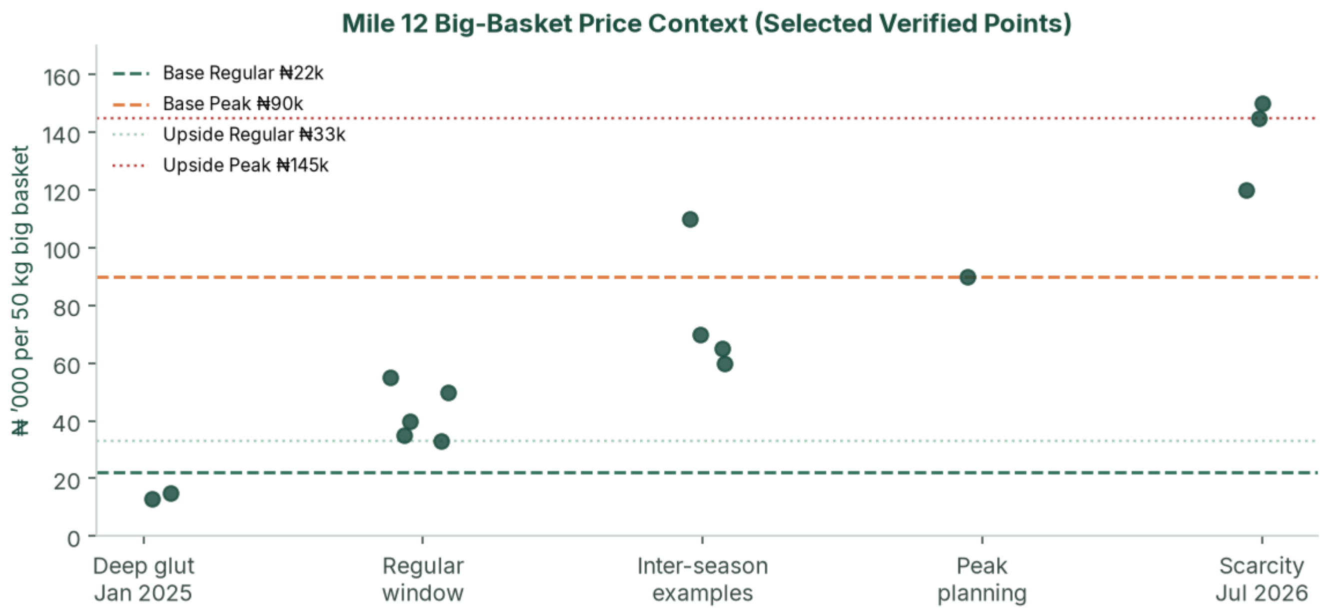

Figure: Selected Mile 12 big-basket points against base-case planning prices (₦22k / ₦90k) and upside prices (₦33k / ₦145k).

3.3 Value chain positioning

About **98%** of national production comes from smallholders on 1–5 ha plots, selling as price-takers to aggregators who truck produce 1,000+ km south and typically lose 40%+ of the load. By supplying Ogun → Mile 12 directly, the venture skips aggregator and long-haul layers, offers a fresher graded product, and is positioned for processor offtake at scale.

3.4 Competitive landscape

Cohort	Versus this venture
Northern smallholders and aggregators	Dominant volume; high spoilage; create the scarcity Peak cycles sell into
Large northern commercial (e.g. Olam-Caraway, Jigawa)	Demonstrated 30–40 t/ha; still long-haul to Lagos; more processing-oriented
Southern / peri-Lagos intensive growers	Limited scale today; capital wall plus two-cycle know-how is the barrier
Processors (Dangote Tomato, Tomato Jos)	Structurally short of consistent fruit — Cycle 5+ offtake, not Cycle 1 cash

3.5 Demand outlook & addressable market

At 100 ha the base case produces **3,400 tonnes per year** (Years 4–5). That is about **3–4 days** of Mile 12 throughput — material to named wholesalers, not to the terminal as a whole — provided Cycle 5 bulk contracts are in place.

Offtake design from Cycle 5: ~50% standing wholesale contracts, ~20% processor/institutional, ~30% Mile 12 spot. No single counterparty above **40%** of a cycle without board consent. Two letters of intent before Cycle 3; a bulk term sheet before Cycle 5 planting — or the +45 ha Regular step waits for the next Peak.

4. Site, Agronomy & Operations

4.1 Ogun State growing conditions

Deep, well-drained soils suitable for intensive irrigated tomato; 1.5-hour corridor to Lagos; SAPZ road and tenure context; two climatic windows that map onto Regular and Peak. **Soil laboratory tests and a borehole yield/quality test on the first 10 ha are conditions of first planting.** Until those exist, yield is a planning assumption. The financial base case already sits 10% below the agronomic target.

4.2 Hybrid seed and yield

Cultivars: **Eva F1 / Platinum F1**, with NIHORT HortiTom4 / HortiTom5 (reported potential 21.7–27.2 t/ha) on a side-by-side trial from Cycle 2.

Source	Yield
Smallholder rain-fed	4–10 t/ha
NIHORT intensive guidance	20–40 t/ha
Olam-Caraway (Jigawa)	30 t/ha out-grower; up to 40 t/ha company fields
Agronomic target (this study)	**20 t/ha Regular / 18 t/ha Peak**
Financial base case	**18 t/ha Regular / 16 t/ha Peak**
Stress case	**15.0 / 13.5 t/ha**

Unit convention: 1 tonne = 20 baskets of 50 kg. Peak yield is 10–12% below Regular for rainy-season disease pressure. Each cycle is 60–90 days transplant to harvest.

4.3 Two-cycle production calendar

Cycle	Window	Base yield	Base price	Role
Regular (Cycle 1 first)	Dec–Jun	18 t/ha (360 baskets)	₦22,000/basket	Establishing volume; glut window
Peak (Scarcity)	Jul–Nov	16 t/ha (320 baskets)	₦90,000/basket	Scarcity capture; footprint expanded ahead of every Peak

Planting weeks are reverse-engineered from the target Mile 12 window. **A Peak harvest that misses the scarcity window is the principal operating way to weaken the plan.**

4.4 Irrigation, soil and pest management

Drip plus fertigation on every productive hectare; shared mainlines across the master block. Opening CapEx ₦3.5 million (headworks + 1 ha). Incremental **₦1.0 million per additional hectare**, plus triggered shared works: second borehole ₦6 million at 15 ha; packing shed ₦8 million at 27 ha; packhouse, cold room and third borehole ₦40 million at 72 ha.

IPM: resistant hybrids, traps, scouting, biologicals where feasible, targeted chemistry. Ogun is insulated from the main northern *Tuta* belt; Peak season is still modelled as higher cost and lower yield.

Indicative water duty 4,000–6,000 m³/ha/cycle under drip, to be replaced by the agronomist. Borehole design is sized to 100 ha **before Cycle 5**.

4.5 Post-harvest handling & logistics

Plastic crates from Cycle 1 (not raffia). Spoilage target **<5%**. Yields in the model are already net of a small field loss. Insulated or refrigerated trucking at **₦1,100/basket** in the base case. Grading on size, colour, firmness and defects. Speed-to-market is the cold chain until the Cycle 5 packhouse.

4.6 Staffing plan

Seasonal field labour sits inside per-hectare production cost. Management scales with acreage and is the binding operational constraint from Cycle 4.

Role	Cycles 1–2 (1–3 ha)	Cycles 3–4 (15–27 ha)	Cycles 5–6 (72–100 ha)
Farm manager	1	1	1 senior
Field supervisors	0	1–2	4–6
Logistics / Mile 12	Owner	1	2
Finance & admin	Owner	1	2–3
Modelled monthly management payroll	₦70,000	₦550,000	₦2,600,000

PAYE, pension (Pension Reform Act 2014) and NSITF/ITF are quantified with advisors as payroll formalises.

4.7 Sales-unit transition — baskets to bulk

The 50 kg basket is the primary unit through Cycle 4 (27 ha). From Cycle 5 (72 ha), ≈70% of output moves to standing bulk contracts at a 10% discount to spot (7% blended haircut, built into every scenario). ≈30% remains Mile 12 spot for price discovery.

4.8 Production cost build-up (base case, Year 1, pre-mechanization discount)

Line (share of base)	Regular ₦/ha	Peak ₦/ha
Hybrid seed & seedlings (30%)	1,080,000	1,260,000
Fertilizer & fertigation (20%)	720,000	840,000
IPM / crop protection (12%)	432,000	504,000
Seasonal labour (18%)	648,000	756,000
Irrigation operating cost (8%)	288,000	336,000
Staking, twine, mulch (7%)	252,000	294,000
Nursery & miscellaneous (5%)	180,000	210,000
Base production cost	**3,600,000**	**4,200,000**

NAIC arable cover is **2% of production cost on top**. Quotations replace these shares before a BOA appraisal.

5. Growth & Expansion Roadmap

5.1 Master block strategy

A master option/lease is executed across the contiguous 100-hectare block before operations begin. Bringing a new parcel into cultivation is then irrigation, land preparation and staffing — not a new legal negotiation.

5.2 Cycle-by-cycle organic expansion

The path is 1 → 3 → 15 → 27 → 72 → 100 ha. Jump sizes are what the reinvestment pool can buy, subject to the 45 ha/cycle ceiling. Cycles 1–4 are cash-unconstrained in the base case after Cycle 2 Peak; from Cycle 4 the ceiling binds.

Cycle	Added	Area	Mech.	Base revenue	Base NPAT	Cycle CapEx
C1 Y1 Regular	start	1 ha	0	₦7.9m	₦0.89m	opening at t=0
C2 Y1 Peak	+2	3 ha	0	₦86.4m	₦45.7m	₦2.0m drip
C3 Y2 Regular	+12	15 ha	1	₦118.8m	₦28.3m	₦18.0m drip + borehole
C4 Y2 Peak	+12	27 ha	2	₦777.6m	₦421.1m	₦20.0m drip + shed
C5 Y3 Regular	+45	72 ha	3	₦530.3m	₦115.4m	₦85.0m drip + packhouse
C6 Y3 Peak	+28	100 ha	3	₦2.68bn	₦1.41bn	₦28.0m drip

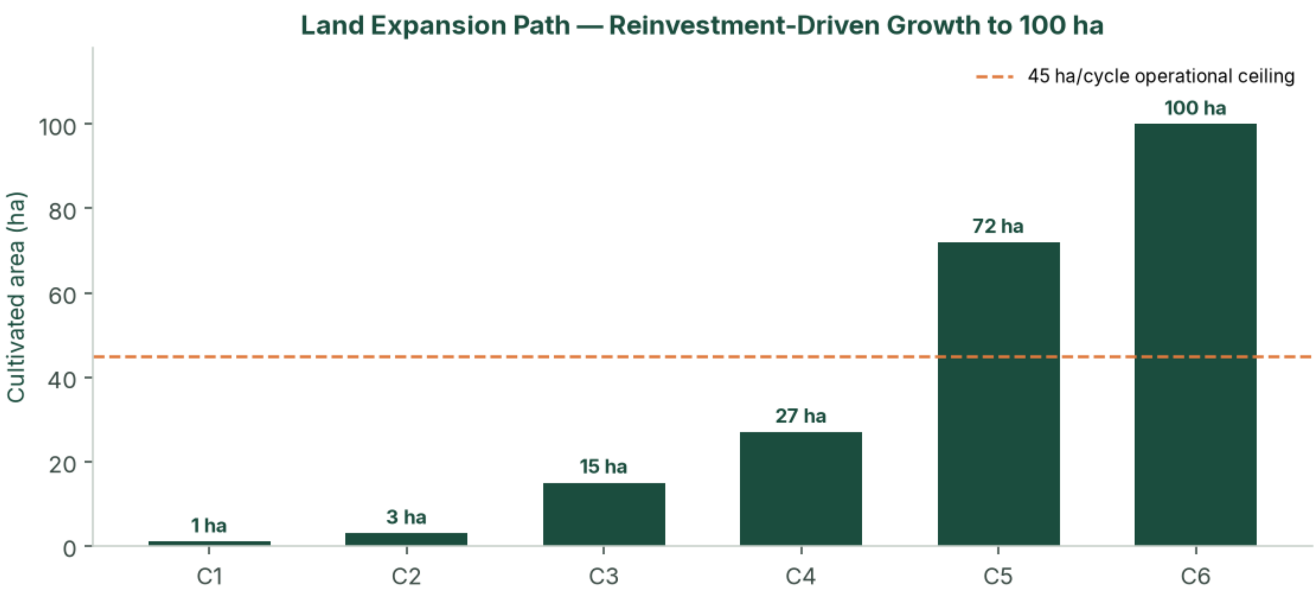

Figure: Land expansion path by cycle (reinvestment-driven, capped at +45 ha/cycle).

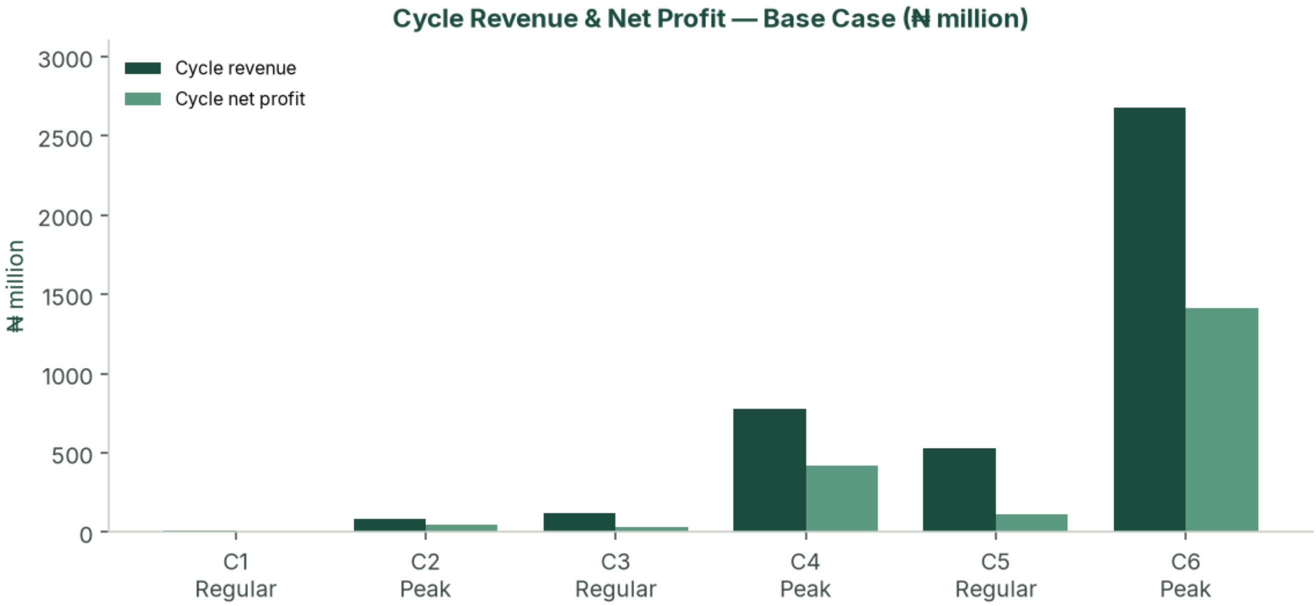

Figure: Cycle revenue and net profit — base case (₦ million). Peak cycles dominate value creation.

Do not plant +45 ha Regular in Cycle 5 unless that harvest is contracted; the add can wait for the following Peak without breaking the three-year idea of the plan.

5.3 Lease-to-own pathway

From Year 2, selected parcels convert to owned land where the lease allows, using buffer reserves. This is not required for the P&L to work. It strengthens the balance sheet and provides real-asset backing for any later facility or downstream investment.

5.4 Implementation timeline

Phase	Timing	Key activities
Pre-operations	Months −4 to 0	Incorporate; TIN; master option/lease with assignment; soil + borehole tests; ₦12m paid-in; NAIC/GIT bind; farm manager; FMC advisory; seed and drip quotations
Cycle 1 Regular	Months 0–6	1 ha; Mile 12 buyer log; cycle-close pack; 50/50 split; prepare +2 ha
Cycle 2 Peak	Months 6–12	3 ha Peak; first high-margin harvest; reinvestment into +12 ha
Cycles 3–4	Year 2	15 → 27 ha; Stage 1→2 mechanization; finance hire; two offtake LOIs; optional ₦80m facility; selective lease-to-own
Cycles 5–6	Year 3	72 → 100 ha; Stage 3; packhouse; 70/30 bulk/spot; full team
Steady state	Year 4+	Dual-cycle 100 ha; yield/cost improvement; optional processing from buffer (separate study)

6. Financial Plan

The engine is `model/financial_model.py`. The **base case** is the planning case. The **upside case** shows scarcity Peak realisation plus the NTA 2025 five-year agri income-tax holiday. The **stress case** stacks glut Regular prices, weaker Peak, lower yields and 17% cost inflation.

6.1 Scenario design

	Stress	Base (planning)	Upside
Yield Regular / Peak	15.0 / 13.5 t/ha	**18 / 16 t/ha**	20 / 18 t/ha
Price Regular / Peak	₦15,000 / ₦55,000	**₦22,000 / ₦90,000**	₦33,000 / ₦145,000

	Stress	Base (planning)	Upside
Production cost / ha	₦4.25m / ₦4.75m	**₦3.6m / ₦4.2m**	₦3.4m / ₦3.8m
Logistics / basket	₦1,300	**₦1,100**	₦900
Cost inflation	17%	**12%**	12%
Sale prices	Flat	**Flat**	Flat
Tax	Full NTA 2025 (Y1 small-company 0%)	**34% (30% CIT + 4% levy)**	5-year agri holiday

All three cases include: phased CapEx, NAIC 2%, cargo 1.5%, management payroll, 5% contingency, D&A, holding-fee lease, 7% bulk haircut from Cycle 5, mechanization discounts 7/14/20%.

Prices are held **flat** while costs inflate. That is conservative for Years 1–3 and demanding for Years 4–5 — which is why the stress-case Year 5 EBIT margin compresses to 5%, and why any facility past Year 4 should include a price-review clause.

6.2 Year 3 comparison

	Stress	Base	Upside
Revenue	₦1.68bn	**₦3.21bn**	₦5.74bn
NPAT	₦387m	**₦1.53bn**	₦4.91bn
Net margin	23.0%	**47.5%**	85.5%
5-yr NPV @ 18% (no TV)	₦429m	**₦2.62bn**	₦8.79bn
Cycle 1	Loss ₦2.76m	**Profit ₦0.89m (MoS 17%)**	Profit (MoS 52%)

The stress case remains NPV-positive at 18%. Cycle 1 can lose money at the January 2025 glut floor; Year 1 as a whole stays positive because Peak, even at ₦55,000 on 3 ha, repairs it.

6.3 Base-case annual P&L

₦ million	Y1	Y2	Y3	Y4	Y5
Revenue	94.3	896.4	3,208.7	3,415.0	3,415.0
EBIT	70.5	680.9	2,311.1	2,269.3	2,135.0
EBIT margin	74.8%	76.0%	72.0%	66.5%	62.5%
Tax @ 34%	24.0	231.5	785.8	771.6	725.9
NPAT	**46.5**	**449.4**	**1,525.3**	**1,497.7**	**1,409.1**
Net margin	49.3%	50.1%	47.5%	43.9%	41.3%
Cumulative 50% buffer	23.3	248.0	1,010.6	1,759.5	2,464.1

Output VAT: fresh produce treated as **exempt**. The base case does not spend the agri tax holiday; that cash appears only in the upside case, subject to a written tax opinion.

6.4 Profit allocation (50/50)

₦ million	Y1	Y2	Y3
50% buffer (annual)	23.3	224.7	762.6
50% reinvested	23.3	224.7	762.6
Cumulative buffer	23.3	248.0	1,010.6

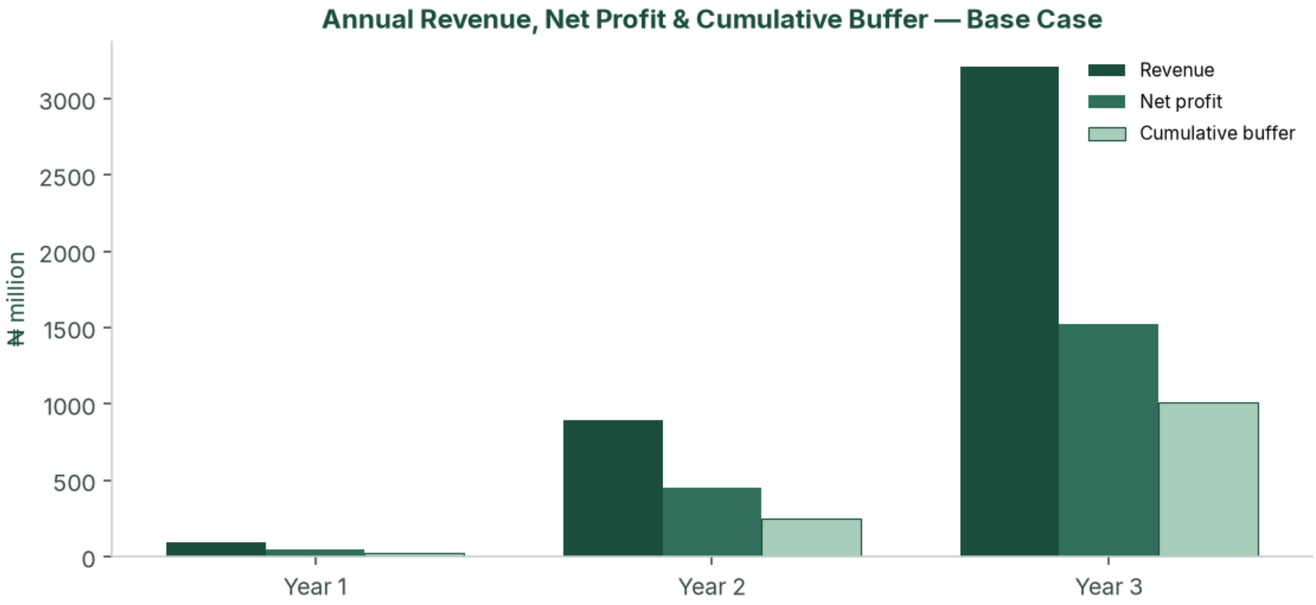

Figure: Annual revenue, net profit and cumulative buffer — base case (₦ million).

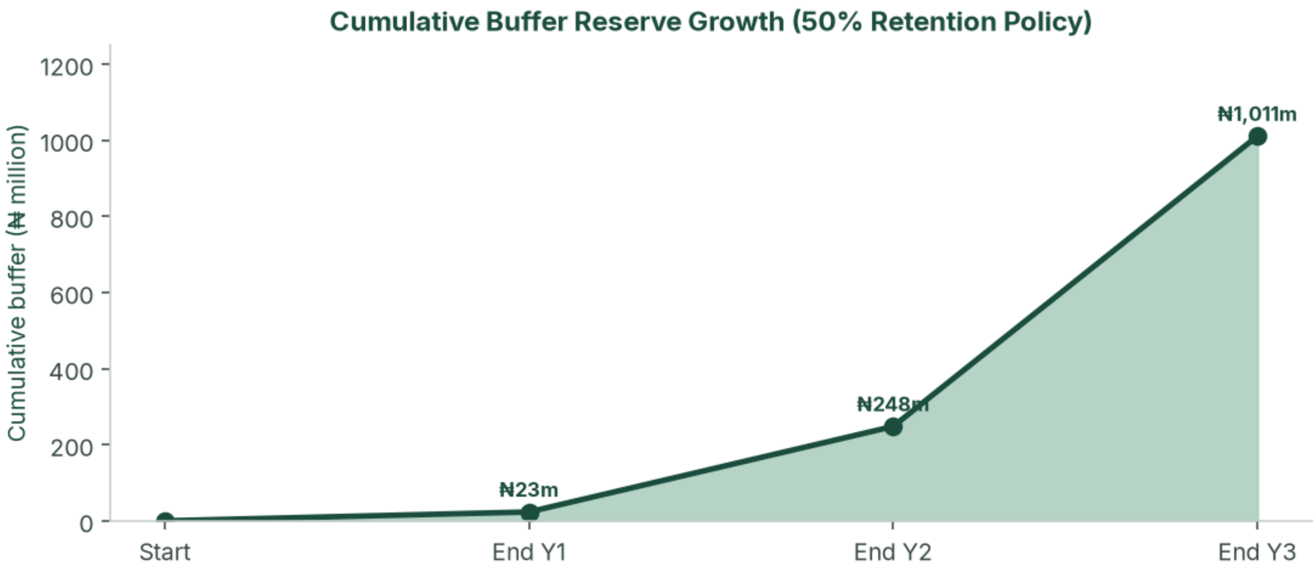

Figure: Cumulative buffer reserve under the 50% retention policy — base case.

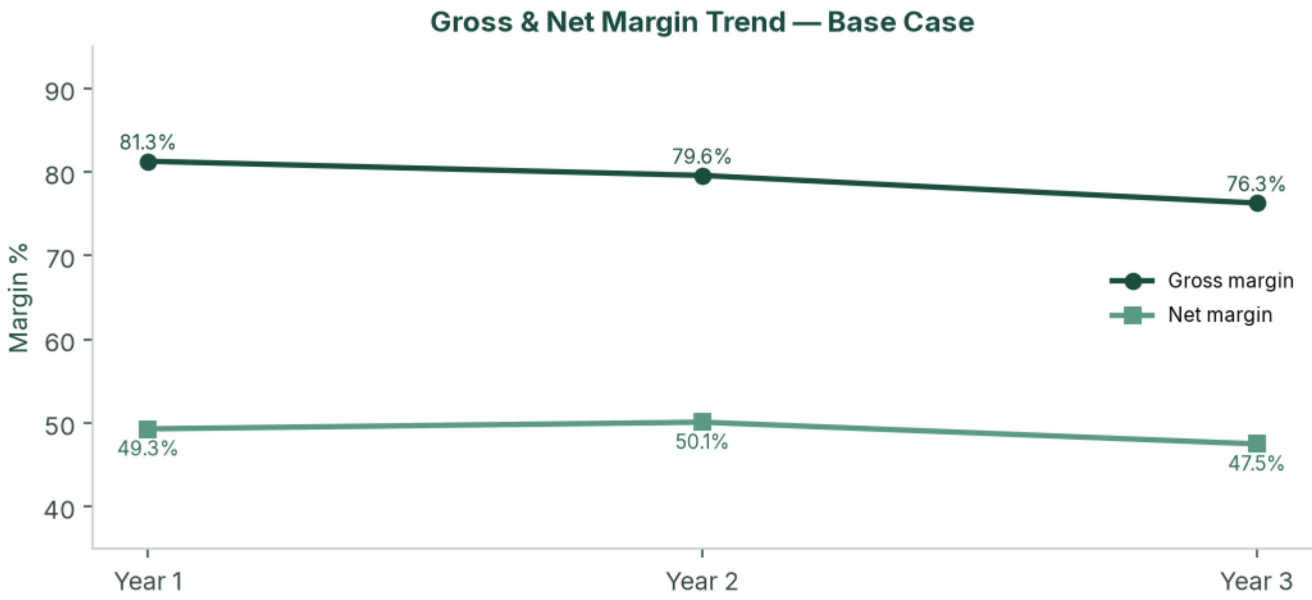

Figure: Gross and net margin trend — base case, three modelled build-out years.

6.5 Cash flow and balance sheet (base case)

₦ million	Y1	Y2	Y3	Y4	Y5
CapEx	(5.5)	(38.0)	(113.0)	—	—
Owner equity	8.0*	—	—	—	—
Closing cash	50.0	467.1	1,903.3	3,427.3	4,862.7
Net PPE	5.6	37.8	126.9	100.7	74.4
Debt	—	—	—	—	—
Equity	55.5	505.0	2,030.3	3,528.0	4,937.1

*The model engine starts at ₦8.0 million so that Cycle 1 tightness is visible. **Recommended paid-in capital is ₦12.0 million** (see 6.11). Mile 12 is modelled as cash sales (T+0 to T+3).

6.6 CapEx programme

Irrigation does not scale at zero marginal cost. The study phases drip, boreholes and packhouse as hectares come in.

Trigger	Item	₦
t = 0	Headworks, 1 ha drip, crates, tools, legal	3,500,000
3 ha (C2)	+2 ha drip @ ₦1.0m	2,000,000
15 ha (C3)	+12 ha drip + second borehole	18,000,000
27 ha (C4)	+12 ha drip + packing shed	20,000,000
72 ha (C5)	+45 ha drip + packhouse / cold / third borehole	85,000,000
100 ha (C6)	+28 ha drip	28,000,000
Total through Year 3		**156,500,000**

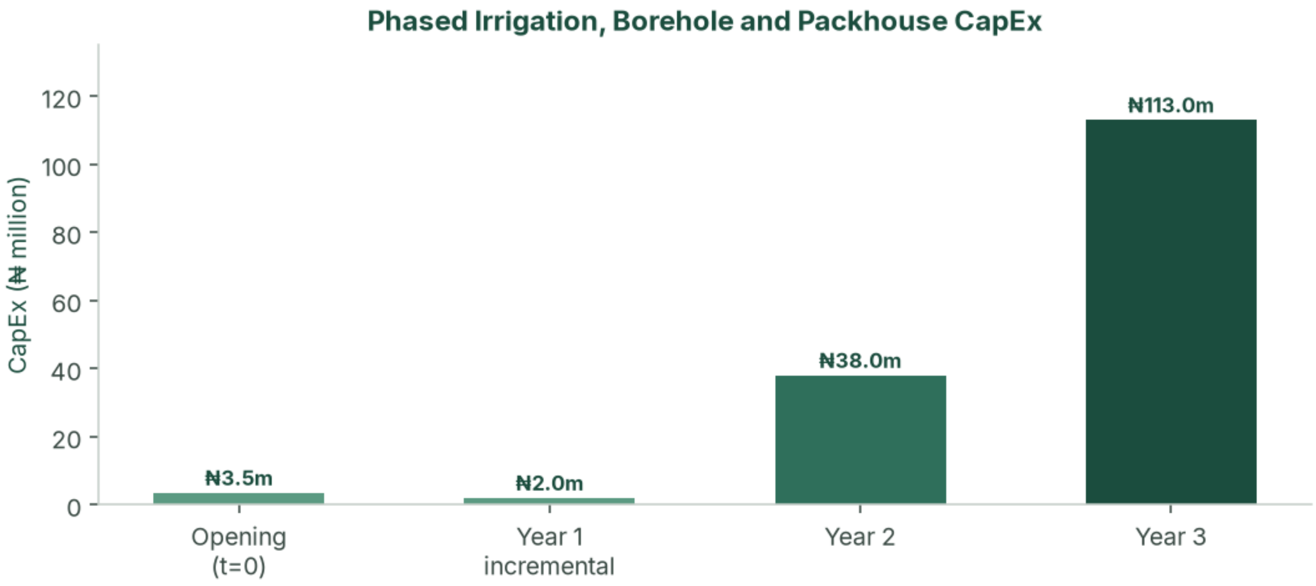

Figure: Phased irrigation, borehole and packhouse capital expenditure. Funded from operations after Cycle 2 Peak. Cycle 5's ₦85 million step is why Peak Cycle 4 must print.

6.7 Break-even (Cycle 1 Regular — the tightest test)

	Stress	Base	Upside
Break-even ₦/basket	₦24,213	**₦18,262**	₦15,810
Planning / case price	₦15,000	**₦22,000**	₦33,000
Margin of safety	−61.4%	**17.0%**	52.1%
Cycle 1 NPAT	−₦2.76m	**₦0.89m**	Positive

Base-case payback on opening equity is **Cycle 2 Peak**, still inside Year 1.

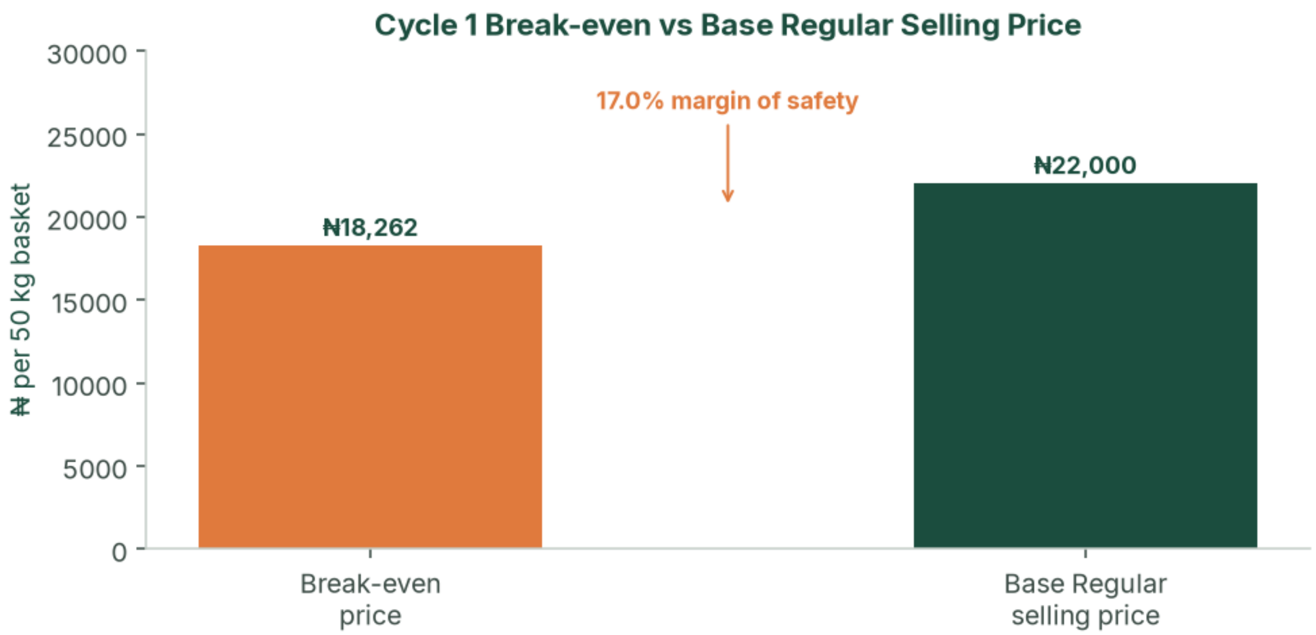

Figure: Cycle 1 break-even price versus base Regular selling price (17.0% margin of safety).

6.8 Sensitivity

Peak cycles carry the enterprise. Regular glut is uncomfortable, not fatal, once Cycle 2 has run. The designed stress case (yield −25%, Peak ₦55k, costs +25%, 17% inflation) is the stacked test.

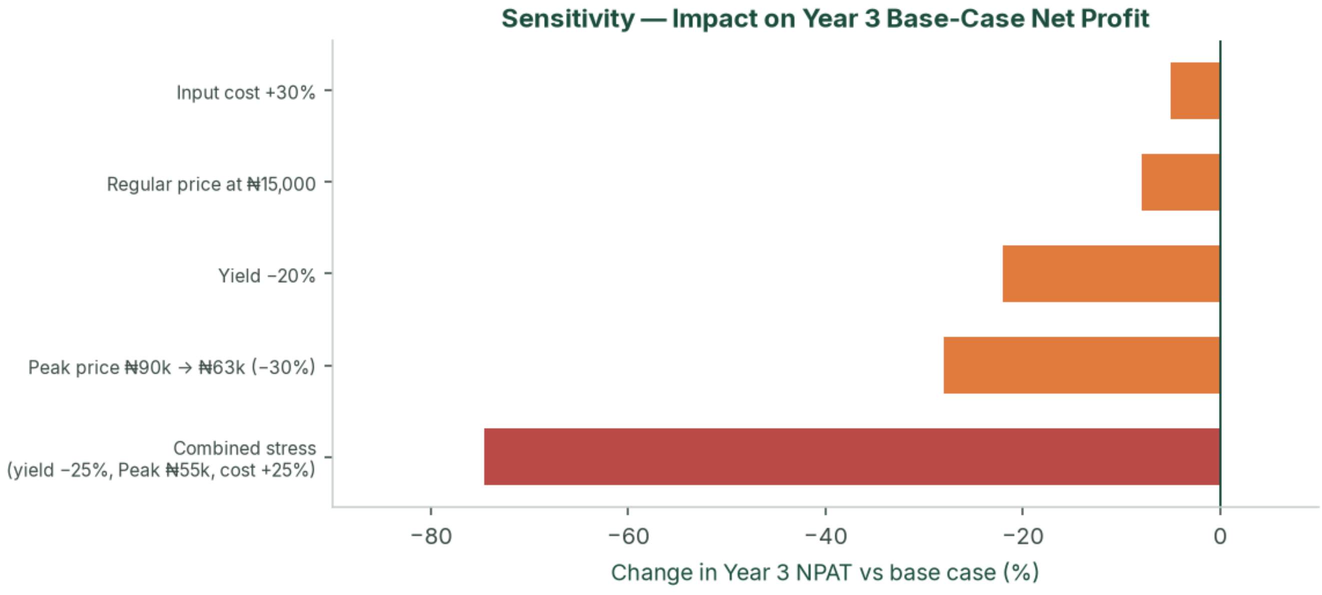

Figure: Sensitivity of Year 3 base-case net profit to price, yield and cost shocks, including the stacked stress case.

A Peak window missed entirely (Peak price equal to Regular) is the operating kill scenario. Hold one full Peak NPAT in the buffer before the +45 ha step.

6.9 NPV, IRR and investment metrics (base case)

Unlevered FCF = EBIT × (1 − 34%) + D&A − CapEx. t = 0 is −₦8.0 million in the engine.

	t=0	Y1	Y2	Y3	Y4	Y5
FCF ₦m	(8.0)	45.5	417.2	1,436.2	1,524.0	1,435.3

Discount	NPV
10%, no terminal value	₦3.39bn
18%, no terminal value	**₦2.62bn**
18% + Gordon TV (g = 3%)	₦6.93bn

Project IRR on this path is very high because opening equity is small relative to Cycle 2 Peak cash. **NPV at 18%, Cycle 1 cash coverage, and DSCR (if geared) are the decision metrics —** not IRR.

6.10 KPIs (cycle pack, within 21 days of last sale)

Tonnes sold, average realised ₦/basket, spoilage %, cash / next-cycle opex, buffer balance, 50/50 split, next-cycle planting plan. Target spoilage <5%. Peak blended realisation at least ₦55,000 in the stress floor; Regular at least ₦15,000.

6.11 Sources & uses and working capital

Recommended opening pack — ₦12,000,000

Use	₦
Initial CapEx	3,500,000
Cycle 1 cash operating costs (ex-D&A)	6,199,000
Pre-ops (soil, CAC, insurance, nursery)	800,000
Opening shock buffer	1,501,000
Total	**12,000,000**

Cycle 1 cash opex of ≈₦6.2 million plus ₦3.5 million CapEx is why paid-in capital is set at ₦12 million rather than a thinner ₦8 million. After Cycle 2 Peak, working-capital demand is met from internally generated cash. Cycle 5 (₦408 million opex + ₦85 million CapEx) proceeds only with Cycle 4 cash in the bank.

6.12 Optional ₦80 million facility

The plan does not need debt to reach 100 ha. The optional facility exists so that a BOA / NIRSAL / ACGSF file is fully specified if promoters later want to protect the buffer through Year 2 expansion.

Term	Illustration
Amount / draw	₦80 million at start of Year 2
Use	C3–C4 drip, borehole, packing shed, WC reserve, prepaid NAIC
Rate	BOA production: 9% + 1% p.a. management + 0.5% appraisal
Shape	Year 2 interest-only; Years 3–5 amortising
Minimum DSCR	**68.7×** base; **4.0×** stress (covenant 1.50×)

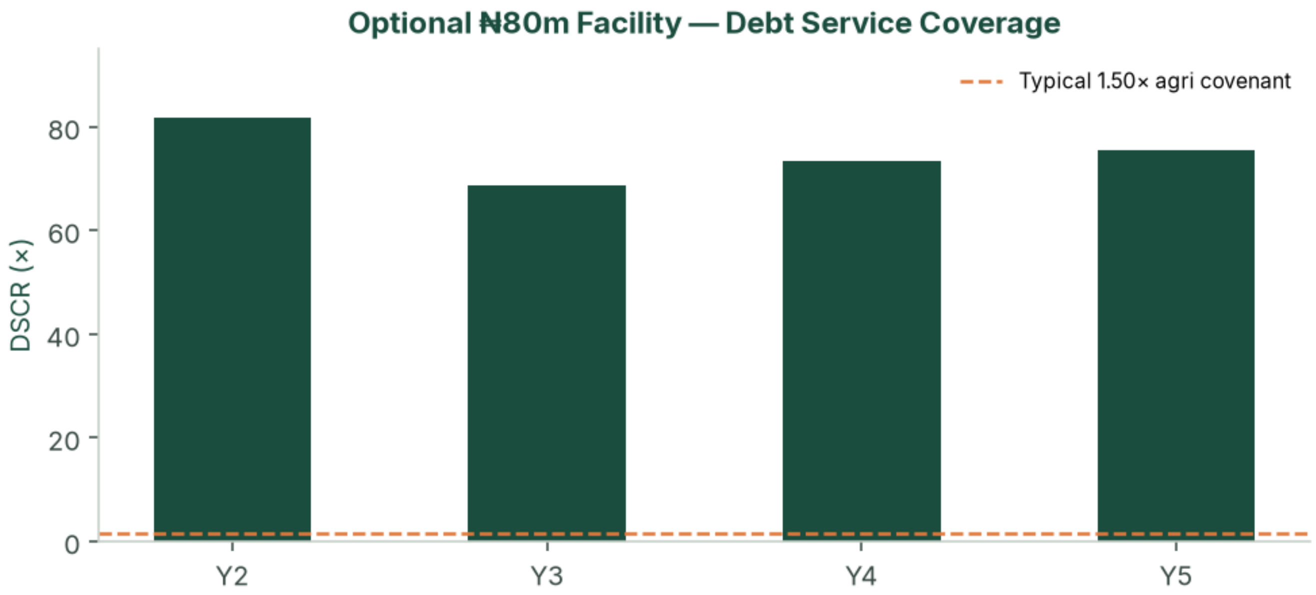

Figure: Debt service coverage on the optional ₦80 million facility — base case versus a typical 1.50× agricultural covenant.

Security, if drawn: all-asset debenture; assignment of the master lease/option (negotiate now); charge over drip and packhouse; NAIC loss-payee; promoter guarantee; BOA lien deposit 10–20% if that product is used. Year 2 base-case cash (₦467 million) would cash-collateralise the ticket after Cycle 2.

7. Risk Assessment

The enterprise is high-margin, Peak-dependent and operationally constrained. It is not a thin row-crop that dies at a 10% price move. Residual high-impact items are execution: Peak timing, +45 ha mobilisation, tenure, and Cycle 1 cash coverage — all addressed in the pre-ops list.

7.1 Market risks

Risk	L	I	Mitigation
Peak below ₦90,000	M	H	Base already at ₦90k; stress ₦55k still Year-profitable; buffer
Regular glut ₦13–15k	M	M	Cycle 1 may lose money; do not size Year 1 debt off Regular
Self-cannibalisation at 72–100 ha	M	H	70% bulk from C5 contracted, not hoped
Bulk buyer default	L	M	40% concentration cap; 30% spot sleeve

Risk	L	I	Mitigation
New southern intensive entrants	L	M	18-month relationship lead; capital wall

7.2 Operational and tenure risks

Risk	L	I	Mitigation
Missed Peak harvest window	M	H	Calendar reverse-engineered from Mile 12; farm-manager KPI
Staffing / +45 ha mobilisation	H	H	Hard ceiling; FMC SLA; option to delay add to next Peak
Irrigation failure	L	H	Spares; dual borehole from 15 ha
Tuta / Peak disease	M	H	IPM; lower Peak yield; NAIC
Lease defective / family claim	L	H	Counsel opinion; assignment language; holding fee + option
Water short at 100 ha	M	H	Pumping test sized to 100 ha before C5

7.3 Financial, tax, FX

Inflation 17% versus flat prices through Year 5 is the stress-case Year 5 5% EBIT path — keep facilities short or include a price reset. The agri holiday is upside only until a tax opinion exists; the base case is fully taxed. Imported seed and drip FX is managed by early procurement and naira quotations.

7.4 Regulatory and legal

CAC limited company before transplanting, with agriculture in the objects and an express borrowing power. TIN from Cycle 1. Pension Reform Act once management is employed. Master lease reviewed for renewal, sub-lease, lease-to-own and lender assignment. OGEPA screening on land use; escalate before packhouse.

7.5 Insurance (costed)

Cover	Basis	Bind
NAIC (or equivalent) arable / weather-index	2% of production cost per cycle	Every cycle before transplant
Goods-in-transit	1.5% of logistics	Every haul
Public / product liability + key person	₦180,000 + ₦8,000/ha per cycle	Cycle 1
Asset all-risks on drip, pumps, packhouse	Quoted at installation	At installation

BOA publicly cites NAIC arable at 2% of material inputs — aligned with the model.

7.6 Overall

Structural margins in the base case (EBIT 62–76%) and the 50% buffer are the safety cushion. Market-absorption risk at full scale is addressed in the base case via the Cycle 5 bulk transition. The binding constraint from Cycle 4 is operational bandwidth — which is why the 45 ha/cycle ceiling is part of the plan, not a later discovery.

8. Environmental, Social & Governance

8.1 Environmental

Drip reduces water per tonne versus flood or rain-fed waste. Short haul cuts embedded loss versus the northern corridor (40–50% typical). IPM aims to cut blanket insecticide versus high-pressure northern systems. Quantified water (m^3/t) and pesticide (kg ai/ha) KPIs start Cycle 2.

IFC Performance Standards screening: OGEPA letter and a simple ESMP at 1–15 ha; labour terms and no child labour; spray buffers and haul hours; confirm the block is not wetland or forest reserve; chance-find procedure. Full ESIA is unlikely at 1 ha and likely at packhouse / 72 ha.

8.2 Social

Seasonal harvest employment scales with hectares; permanent staff follow the organogram. Skills transfer via the farm-management company. Prefer local labour for harvest. Pension Reform Act compliance for formal staff.

8.3 Governance

Cycle-level close, 50/50 rule, audit from Year 1, related-party lease disclosure, and a collection account if any facility is live. Board: promoter plus one independent with agribusiness or audit experience from Cycle 3. Reserved matters: new debt above ₦10 million; related-party leases; change of 50/50; sale of the leasehold interest; offtake above 40% with a single counterparty.

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9. Conclusion & Recommendations

9.1 Feasibility verdict

This study finds the venture **feasible**. Starting from one hectare and ₦12 million of paid-in capital, the base case reaches the full 100-hectare master block in six cycles — three years — without required external financing. It is underpinned by a structural tomato supply deficit, Ogun's geographic advantage, a deliberate strategy of scaling ahead of every Peak cycle, and a capital-allocation policy that funds growth from retained profit while holding a cash buffer.

The base case NPV at 18% is **₦2.62 billion** (five years, no terminal value). The stress case remains value-accretive at 18% (₦429 million). The upside case, if Peak prints and the agri tax holiday both hold, is ₦8.79 billion at the same discount.

9.2 Critical success factors

1. Peak harvest timed into the July–November scarcity window.
2. ₦12 million paid-in before Cycle 1 transplant.
3. A bankable lease/option with assignment rights and a holding fee.
4. Uncompromising 50/50 allocation and the 45 ha/cycle ceiling.
5. Bulk offtake signed before the +45 ha Regular step.
6. Cycle-level books from harvest one.
7. Irrigation integrity — modelled yields are drip-dependent.

9.3 Recommendations

- Incorporate SNLB Farms as a limited company; open a dedicated operating account; pay in ₦12 million.
- Instruct counsel on the master option/lease before drip deposits.
- Commission soil and borehole tests on the first 10 ha.
- Bind NAIC and GIT; hire the farm manager; engage an FMC on advisory terms.
- Run Cycle 1 as a proof cycle. Use Cycle 2 Peak to fill the buffer.
- Begin bulk-contract conversations in Cycles 3–4.
- Confirm with the farm-management company, before Cycle 4, that +45 ha can actually be mobilised — revise the ceiling down if not.
- Obtain a tax opinion on the NTA 2025 agri holiday; the base case does not spend that cash.
- After the Cycle 2 audit pack, raise the optional ₦80 million facility only if it accelerates packhouse quality — not because the model needs it.
- Do not mix processing, export or a second 100 ha into this NPV.

9.4 Final statement

The opportunity is a structural tomato deficit, a 1.5-hour corridor to the price-setting market, and a two-cycle calendar that turns national volatility into a P&L feature. The plan is a thoroughly costed path from one hectare to one hundred — provided the pace of land expansion is matched, cycle for cycle, by staffing, drip and offtake, which the numbers show will be the true limiting factor almost from the outset.

10. Appendices

A. Glossary

Term	Meaning
Regular season	Dec–Jun glut-aligned cycle
Peak / scarcity season	Jul–Nov cycle aligned with northern supply collapse
50/50 rule	NPAT split: 50% cash buffer, 50% reinvestment
Master block	Contiguous 100 ha under option/lease
Base case	Conservative planning case used for underwriting
Upside case	Agronomic yields, observed Peak prints, agri tax holiday
Stress case	Glut Regular, weaker Peak, lower yield, faster inflation
DSCR	EBITDA / (interest + fees + principal)
NTA 2025	Nigeria Tax Act 2025
NAIC	Nigerian Agricultural Insurance Corporation (or equivalent)
BOA	Bank of Agriculture
ACGSF	Agricultural Credit Guarantee Scheme Fund

B. Conditions of first planting

1. CAC incorporation, TIN, MEMART with agri objects and borrowing power.
2. ₦12.0 million paid-in **or** ₦8.0 million plus a bound ₦5–10 million input facility.
3. Executed master option/lease with lender-assignment language.
4. Independent soil test and borehole yield/quality on the first 10 ha.
5. Named farm manager (CV) and FMC advisory letter.
6. NAIC and GIT bound for Cycle 1.
7. Seed and drip quotations.
8. Promoter KYC (NIN, BVN, ID, PEP).
9. Tax engagement letter (holiday versus 34%).
10. Cycle 1 budget signed against ≈₦6.2 million base-case cash opex.

Subsequent gates: Cycle 1 management accounts; Peak IPM before Cycle 2; two offtake LOIs before Cycle 3; mechanization SLA and 100 ha water note before Cycle 4; bulk term sheet before Cycle 5 (or delay +45 ha); Year 1 audit within 120 days.

C. Data-room index

Corporate (CAC, MEMART, TIN) · Land (lease/option, survey, counsel) · Technical (soil, water, drip, seed, IPM, calendar) · Market (price log, LOIs) · Financial (statements, cycle packs, tax, insurance) · ESG (OGEPA, labour) · Security (asset register) · Quotations.

D. Model files

`snlb-farms/model/financial_model.py` · `outputs/model_results.json` · `credit_cycle_pnl.csv` · `credit_annual.csv` · `credit_debt_dscr.csv` · charts in `snlb-farms/charts/`.

E. Primary sources & benchmarks

NIHORT production guidance and HortiTom4/5 notes. Olam-Caraway public yields. Mile 12 price points from Businessday, Nairametrics, Vanguard and related reporting, August 2024 – July 2026. NBS food inflation May 2026 (16.96% y/y). Nigeria Tax Act 2025 (small-company test; 30% CIT; 4% Development Levy; 5-year agri exemption for qualifying crop production — confirm with counsel). BOA production-loan charges (9%; NAIC arable 2%). ACGSF up to 75% guarantee. Industry estimates: 3.7 Mt output; 40–50% post-harvest loss; US$350–

400m paste imports. Drip kit Nigerian retail ranges 2024–2026; model uses ₦1.0m/ha incremental plus shared headworks.

F. Document control

Version	Date	Notes
Comprehensive Feasibility Study	August 2026	Operating model, charts, three scenarios, phased CapEx, NTA 2025, DCF, optional facility, CPs

Prepared for SNLB Farms. Not for general circulation. Replace planning tables with live quotations and the site report before any binding credit application.